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Aspeed Technology | Asia Pacific

Substantial Upside Seen for 4Q26; Reiterate OW

WHAT'S CHANGED

Aspeed Technology (5274.TWO)	From	To
Price Target	NT\$20,888.00	NT\$24,000.00

Strong 4Q26 guidance indicates BMC remains constrained, with price hikes all the way to 1H27.

Key Takeaways

- 2027 growth should be supported by BMC pricing power, 30-40% server CPU growth and rising ASIC/TPU server adoption, with AI racks a multi-year driver.

3Q26 revenue tracking in line: Aspeed reported August monthly sales of NT \$1,626mn, up 7% M/M and 118% Y/Y, tracking in line with our expectation. We attribute this to gradual release of T-glass capacity support, with strong demand coming from AI and general server continuing.

Record revenue again seen for 4Q26, with GM likely to beat again: Aspeed issued 4Q guidance of NT\$6.6-6.8bn, indicating 45% Q/Q growth vs. our original forecast at +26% and consensus at +8% Q/Q. We attribute the strength to more substrate support. In addition to T-glass based substrates, E-glass based ones are to ramp in 4Q, along with benefits from pricing adjustment. GM is guided to be 67-68%, which we view as conservative. As BMC remains constrained, we think price hikes of at least 15-20% for BMC are very likely in 4Q, given cost reflection from both foundry and the back end. Together with a higher mix from AST2700 in 4Q, our view is that Aspeed's GM could reach or exceed 70%.

Momentum to continue into 2027: Reflecting strong demand from AI leading to insufficient capacity and elevated material pricing, we expect foundry and OSAT to conduct price hikes of at least 10-15% and over 20%, respectively, in Jan 2027. As BMC remains in a seller's market, we expect Aspeed to pass through all of these burdens to customers, suggesting potential further pricing hikes. Server CPU shipments are on track to grow at least 30-40%, with AMD and Arm-based CPUs growing at the fastest pace. Aspeed started shipments for TPU BMC in 2H26; we believe ASIC server will continue to be the multi-year growth driver for Aspeed, as more vendors are designing the rack solution.

Reiterate OW, lift PT by 15% to NT\$24,000: We reflect the strong guidance and price hike factor into our model. We expect Aspeed to be a key beneficiary for the AI trend, especially with agentic AI demand picking up. We also believe customers are trying to secure more inventory from Aspeed. Current valuation is at 56x 2027e EPS, which we view as a fair entry point vs. a 78% earnings CAGR seen for 2025-28, and we still see room for earnings revision breadth expansion for Aspeed.

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Aspeed Technology (5274.TWO, 5274 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	Overweight
Industry View	Attractive
Price target	NT\$24,000.00
Up/downside to price target (%)	37
Shr price, close (Sep 4, 2026)	NT\$17,470.00
52-Week Range	NT\$18,790.00-4,327.27
Sh out, dil, curr (mn)	38
Mkt cap, curr (mn)	NT\$656,068
EV, curr (mn)	NT\$649,770
Avg daily trading value (mn)	NT\$3,731

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	103.94	207.93	313.49	443.53
Prior EPS (NT\$)**	-	192.13	271.56	394.38
EPS (NT\$)§	100.67	186.63	307.26	452.78
Revenue, net (NT\$ mn)	9,085	18,702	29,808	40,761
EBITDA (NT\$ mn)	4,984	10,584	17,475	24,792
ModelWare net inc (NT \$ mn)	3,928	8,882	14,340	20,288
P/E	63.5	84.0	55.7	39.4
P/BV	32.7	49.8	31.3	20.9
RNOA (%)	214.7	623.8	468.4	416.7
ROE (%)	69.7	117.3	108.8	96.8
EV/EBITDA	48.5	61.0	36.6	25.4
Div yld (%)	0.5	1.0	1.5	2.1
FCF yld ratio (%)**	0.6	1.0	1.6	2.3
Leverage (EOP) (%)	(83.2)	(78.8)	(78.7)	(80.4)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

§ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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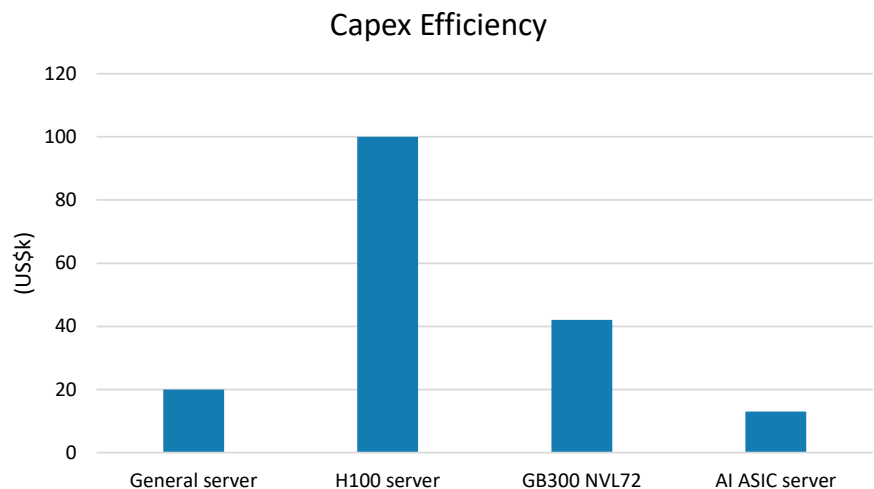
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Key charts

The baseboard management controller (BMC) integrated circuit (IC) (i.e., a specialized microchip) is the key component on the server board. It helps enable remote control for the server firmware system and maintain datacenter stability. Previously, Aspeed indicated that general servers and AI ASIC servers actually generate higher efficiency in hyperscaler capex spending ([Exhibit 1](#)). As a result, as the CPU plays a critical role in enabling agentic AI (as the central coordinator that executes instructions, manages system resources, and ensures reliable, real-time decision-making), we expect the growing demand for CPUs/general servers to further lift Aspeed's BMC revenue in the coming years.

Currently, Aspeed has ~70% sales market share in the CPU server BMC market, with major US and Chinese hyperscalers being its end-customers, including Meta, AWS, Alibaba and Microsoft. As it migrates into the new generation BMC product – AST2700 – we expect it to expand its market share in customers including Dell and Google, which would help expand its revenue, as spec migration also brings 40-50% ASP increase.

Exhibit 1: General servers and AI ASIC servers generate the highest capex efficiency for BMCs

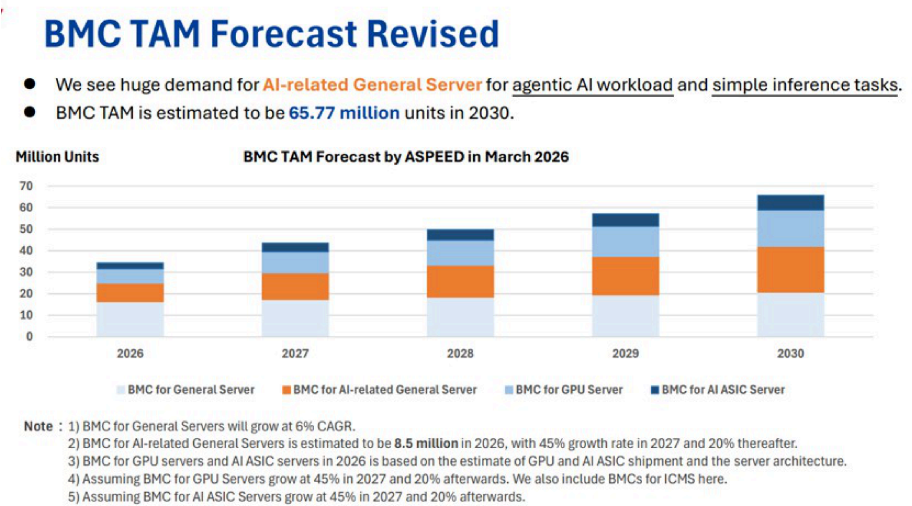


Source: Company data, Morgan Stanley Research. Note: Capex efficiency is defined as the amount of server spend that will contribute to one BMC demand. The lower the capex efficiency, the better for Aspeed.

Aspeed, in April, announced an increase in its BMC TAM, from 46.5mn to 65.77mn units in 2030, driven by AI-related general server demand. We think agentic AI will be the key driving force behind this growth. General server growth should be stable at 6% over 2025-30, while AI-related general servers should account for: 1) 25% of total 2026 general server demand; 2) 45% in 2027; and 3) 20% throughout 2028-30 (see [Exhibit 29](#)).

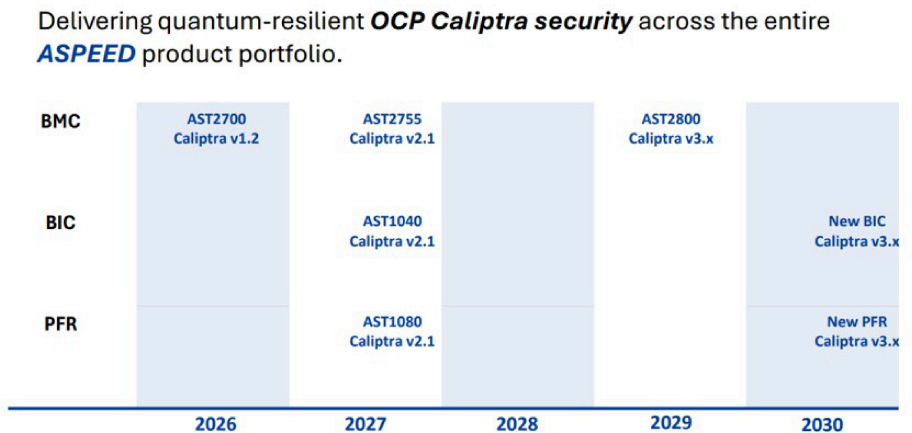
On the order visibility front, customers began providing forecasts at 7-8x Aspeed's single-month revenue. Although Aspeed could not roll out any double booking, the current dynamic is that shipments are well beyond all customers' needs. Customers also expect to double capacity Y/Y in 2027.

Exhibit 2: Aspeed expects its BMC TAM to reach 65.7mn units in 2030



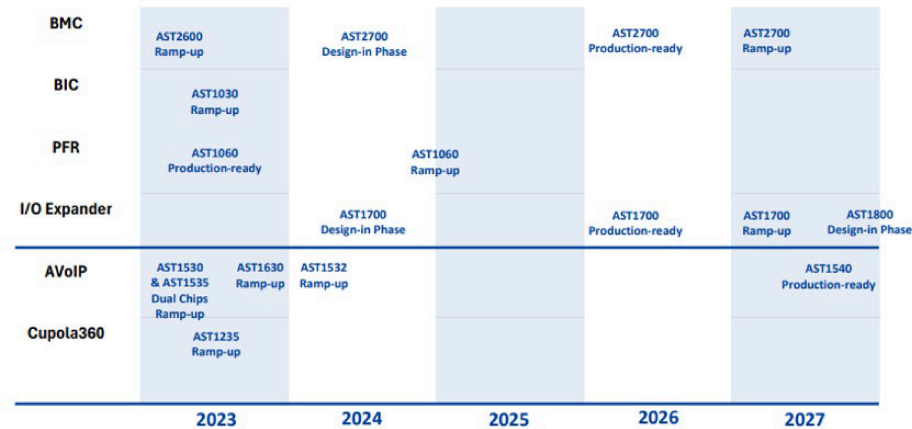
Source: Aspeed

Exhibit 3: Aspeed's product roadmap



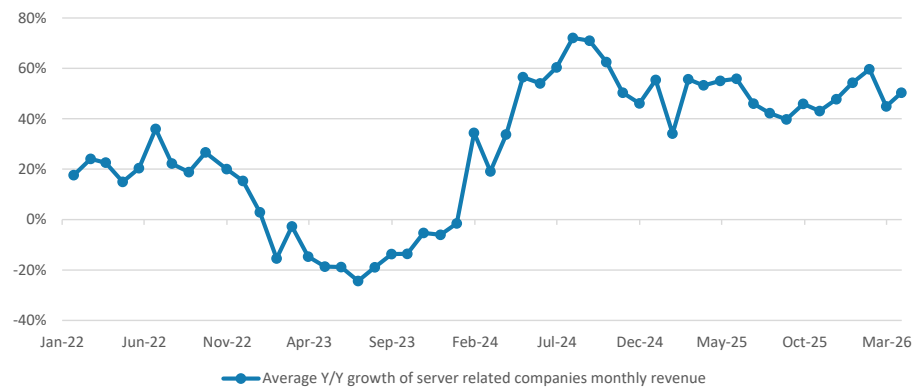
Source: Aspeed

Exhibit 4: Aspeed Product Roadmap



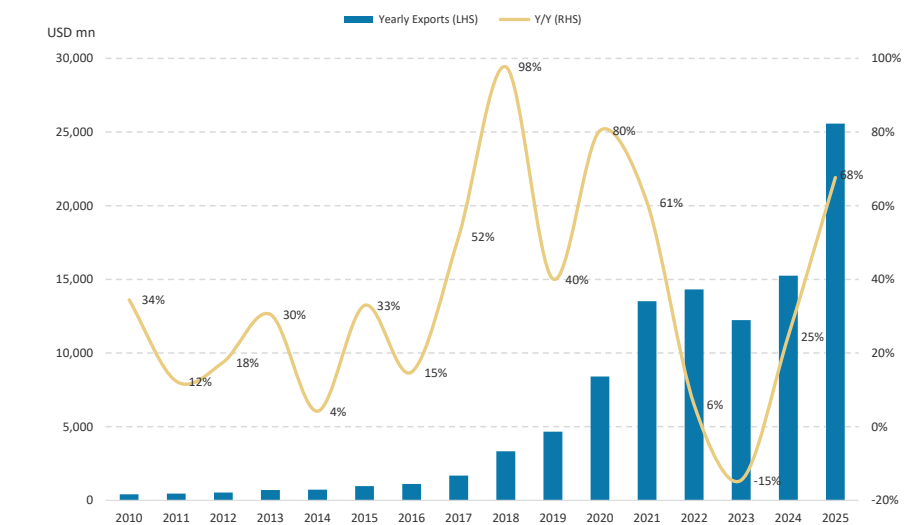
Source: Aspeed

Exhibit 5: Server-related companies maintain high Y/Y revenue growth – but slowing a bit because of a high base



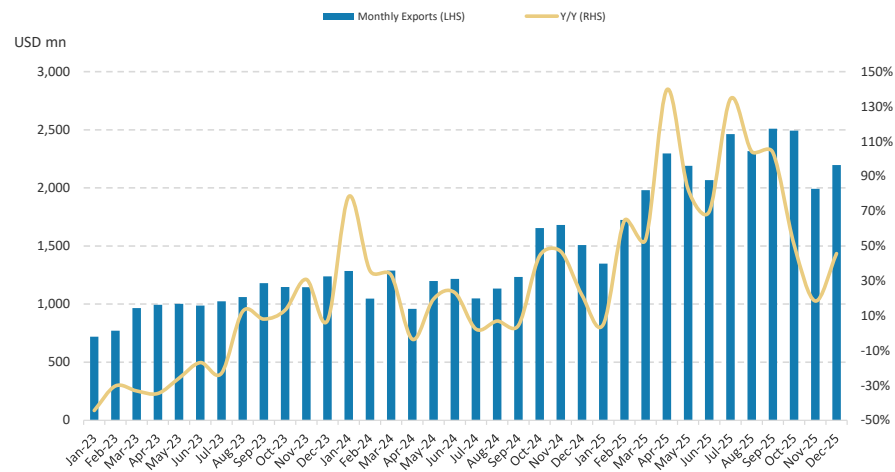
Source: Company data, Morgan Stanley Research. Note: Monthly revenue includes revenue from Aspeed, Wiywynn, Accton, Lotes, Inventec, Quanta, LandMark, Giga-Byte, TSMC, KYEC, AllRing, FOCl, AVC, Auras, Gold Circuit, Unimicron, and Hon Hai.

Exhibit 6: Full-year processor exports increased 68% y/y in 2025



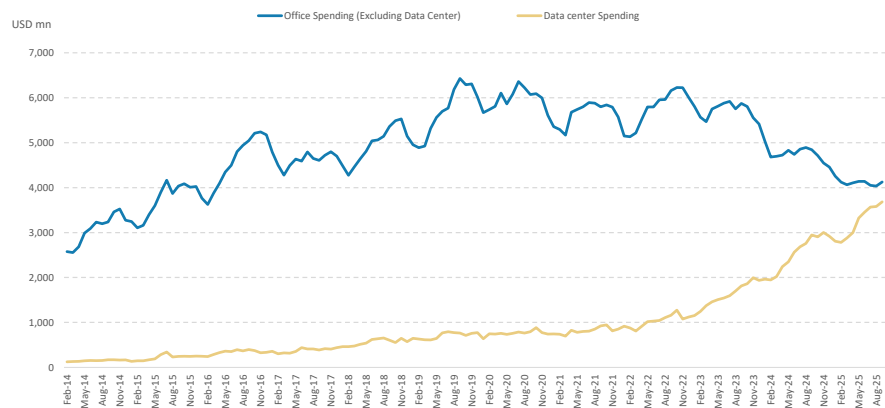
Source: International Trade Administration, Morgan Stanley Research.

Exhibit 7: Processor exports maintain strength, with 20 consecutive months of Y/Y growth



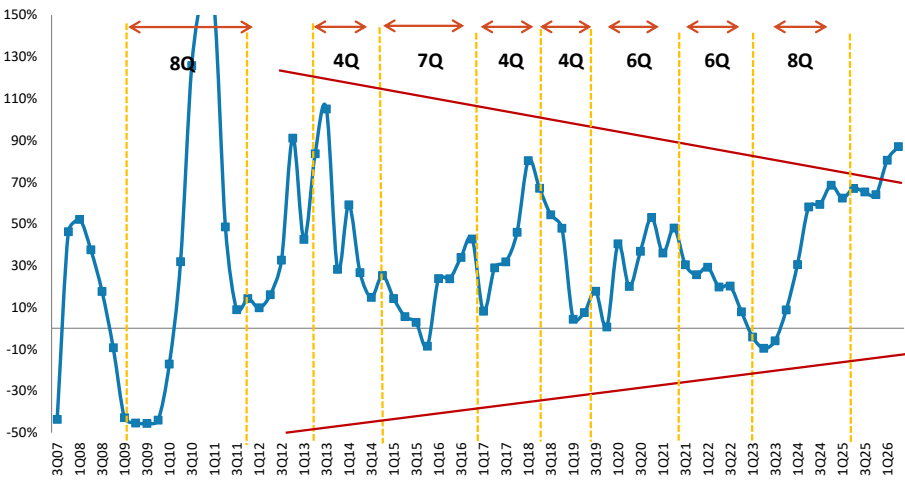
Source: International Trade Administration, Morgan Stanley Research.

Exhibit 8: Data center construction spending rose 35% Y/Y while other office spending declined



Source: United States Census Bureau, Morgan Stanley Research.

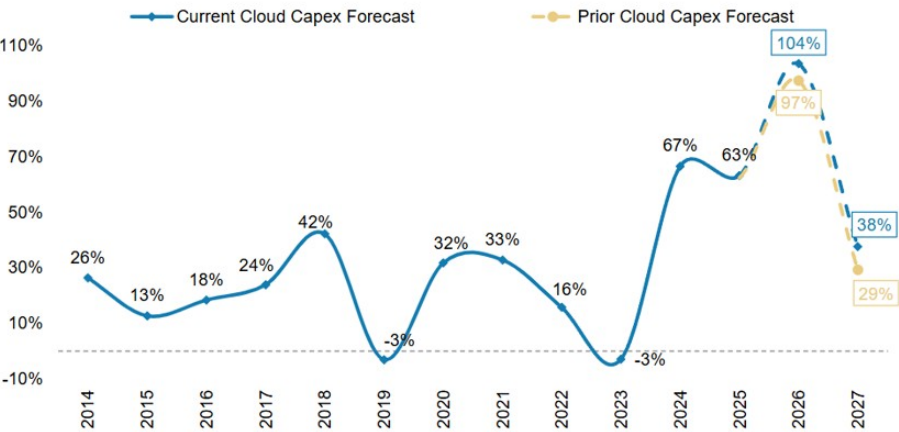
Exhibit 9: 2Q26 US cloud capex increased 87% Y/Y, continuing to see sequential increase



Source: Company data, Morgan Stanley Research. US cloud capex calculated from Alphabet, Microsoft, Amazon, and Meta.

Exhibit 10: Our cloud capex tracker now points to 104% Y/Y growth in 2026 (up 7 points from a month ago), followed by 38% Y/Y growth in 2027 (up 9 points from a month ago)

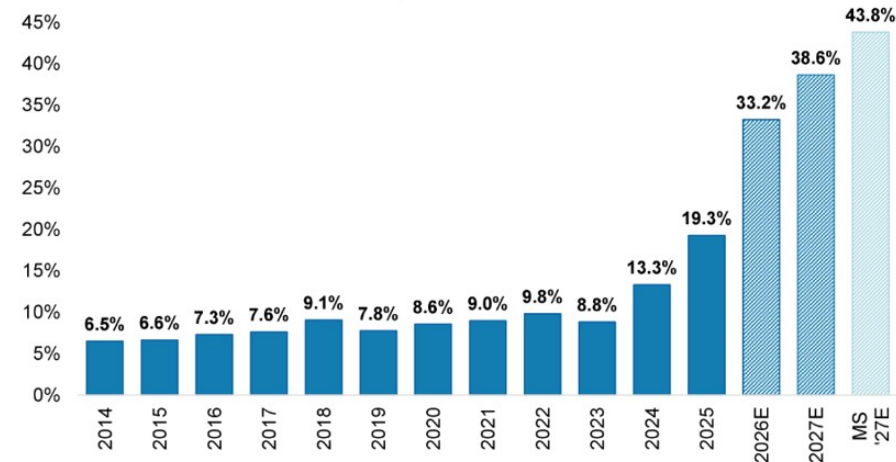
Top 15 Cloud Providers: Cloud Capex Y/Y Growth



Source: Company data, FactSet, Morgan Stanley Research, irs.gov. Note: Cloud capex includes capex from Amazon, Alphabet, Microsoft, Meta Platforms, SpaceX, CoreWeave, Nebius, IREN, Tesla, Tencent, Baidu, Alibaba, Apple, IBM, and Oracle.

Exhibit 11: Our cloud capex tracker indicates that capital intensity will remain at a 10+ year high of 33.2% in 2026 (up 180bps from earlier this month), followed by 38.6% in 2027 (up 380bps from earlier this month)

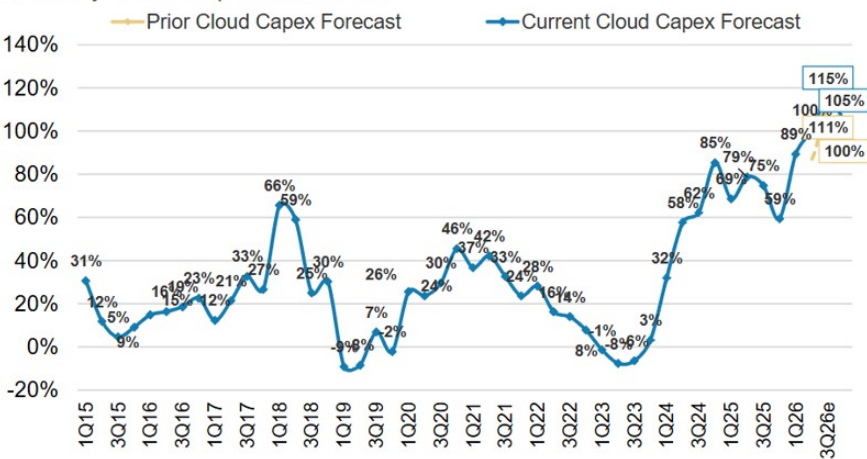
Top 15 Cloud Providers: Capital Intensity



Source: Company data, FactSet, Morgan Stanley Research. Note: Cloud capex includes capex from Alphabet, Amazon, Microsoft, Meta Platforms, SpaceX, CoreWeave, Nebius, IREN, Tesla, Tencent, Baidu, Alibaba, Apple, IBM, and Oracle.

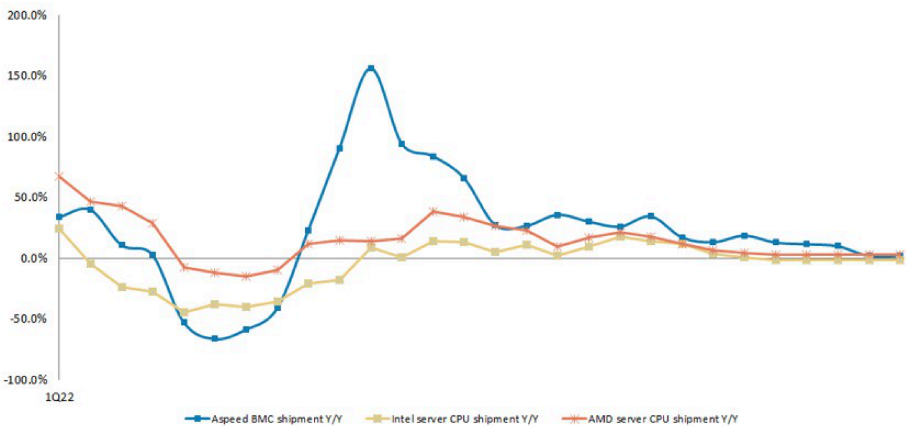
Exhibit 12: Our cloud capex tracker now points to 115% Y/Y growth in C3Q26

Quarterly Cloud Capex Growth Y/Y



Source: Company data, FactSet, Morgan Stanley Research. Note: Cloud capex includes capex from Amazon, Alphabet, Microsoft, Meta Platforms, SpaceX, CoreWeave, Nebius, IREN, Tesla, Tencent, Baidu, Alibaba, Apple, IBM, and Oracle.

Exhibit 13: Quarterly Aspeed shipments Y/Y and Intel + AMD CPU shipments Y/Y



Gauging the AI ASIC BMC TAM

Aspeed maintains the lion's share in AI servers, including at NVIDIA, AMD and Trainium. Google TPU has long used MCUs for remote control. Starting with TPUV8t (codename: Sunfish), given better performance, we expect Google to adopt Aspeed's AST2700 BMC controller. Together with our latest updates on 2027e CoWoS and implied ASIC shipments, we estimate an additional 4% revenue contribution in 2026 and 13% in 2027.

Together with other ASICs (mainly TPU, MTIA, and Teton), we expect ASIC racks to contribute 9.3% and 18.9% of Aspeed's total revenue in 2026 and 2027, respectively. Further upside potential could come as orders beyond 2026 remain uncertain for now, and other ASIC players – including Microsoft, SoftBank/Arm, Apple, and Fujitsu – all plan to build ASIC servers in the coming years.

We therefore expect AI ASIC servers to strengthen Aspeed's growth over the next few years.

Exhibit 14: Gauging the ASIC TAM for Aspeed: We expect 2026 and 2027 to see ASIC racks contribute 9.3% and 18.9% of its total revenue, respectively

CSP	Rack	Rack MP time	Accelerator name	BMC Generation	BMC to ASIC per rack %	BIC to ASIC per rack %	2026e chip shipment			2027e chip shipment		
							Accelerator chip shipment (k units)	BMC (k units)	BIC (k units)	Accelerator chip shipment (k units)	BMC (k units)	BIC (k units)
AWS	Teton3	2H26-2027	Trainium 3	AST2700	69%		1,700	1,181		2,380	1,653	
	Teton4	1H28	Trainium 4	AST2700	69%							
	TPU v8i	2026	Sunfish	AST2700	70%		900	630		4,000	2,800	
Google	TPU v8t	2026	Zebrafish	AST2700	70%		500	350		3,000	2,100	
	TPU v9	2027	Humufish	AST2700	70%					150	105	
Meta	Santa Barbara	2026-2027	MTIA 3 Iris & 3.5 Arke	AST2700	100%		150	150		850	850	
Total BMC and BIC shipment (k units)							2,311			7,508		
AST2700							2,311			7,508		
BIC												
BMC ASP (US\$)												
AST2700							25			25		
BIC ASP (US\$)												
Revenue contribution from ASIC (US\$mn)							57,764			187,694		
Revenue contribution from ASIC (NT\$bn)							1,733			5,631		
Aspeed CY Revenue (NT\$bn)							18,702			29,808		
% of total revenue							9.3%			18.9%		

Source: Morgan Stanley Research (e) estimates

Exhibit 15: We estimate AWS's Trainium/Teton racks will contribute 4.8% and 4.2% of TAM revenue in 2026 and 2027, respectively

	2026e	2027e	2028e
Total ASIC shipment	1,700	2,380	2,500
Trainium2	-	-	-
Trainium3	1,700	2,380	-
Trainium4	-	-	2,500
BMC to ASIC per rack ratio	70.2%	69.4%	69.4%
AST2700 ASP (US\$)	25	25	25
Revenue contribution from AWS (US\$mn)	29,846	41,319	43,403
Revenue contribution from AWS (NT\$bn)	895	1,240	1,302
Implied CY Revenue (%)	4.8%	4.2%	3.2%

Source: Morgan Stanley Research (e) estimates

Exhibit 16: AWS Trainium3 UltraServer



Source: AWS.

Exhibit 17: AWS Trainium3 UltraServer architecture



Source: AWS, Morgan Stanley Research.

Exhibit 18: We estimate Google TPU will contribute 3.9% and 12.6% of TAM total revenue in 2026 and 2027, respectively

	2026e	2027e	2028e
Total ASIC shipment	1,400	7,150	6,500
TPUv8i (3nm, Sunfish; by Broadcom)	900	4,000	2,500
TPUv8t (3nm, Zebrafish; by MediaTek)	500	3,000	1,000
TPUv9 (2nm, Humufish; by MediaTek)	-	150	3,000
BMC to ASIC per rack ratio	70.0%	70.0%	70.0%
AST2700 ASP (US\$)	25	25	25
Revenue contribution from Google (US\$mn)	24,500	125,125	113,750
Revenue contribution from Google (NT\$bn)	735	3,754	3,413
Implied CY Revenue (%)	3.9%	12.6%	8.4%

Source: Morgan Stanley Research (e) estimates

Exhibit 19: We estimate Meta MTIA to contribute a respective 0.6% and 2.1% of TAM total revenue in 2026 and 2027, respectively

	2025e	2026e	2027e
Total ASIC shipment	50	150	850
MTIA 2	50		
MTIA 3		150	550
MTIA 3.5			
MTIA Rivos Project			300
BMC to ASIC per rack ratio	71.9%	100.0%	100.0%
AST2600 ASP (US\$)	15		
AST2700 ASP (US\$)		25	25
BIC to ASIC per rack ratio	78.1%		
BIC ASP (US\$)	6		
Revenue contribution from Meta (US\$mn)	234	3,750	21,250
Revenue contribution from Meta (NT\$bn)	7	113	638
Implied CY Revenue (%)	0.1%	0.6%	2.1%

Source: Morgan Stanley Research (e) estimates

Aspeed: Estimate Revisions

We increase our EPS estimates by 8% for 2026, 15% for 2027 and 12% for 2028: We factor in actual 2Q26 results and strong guidance for 4Q26, mainly driven by continual price hikes. We expect momentum to continue into 1H27.

Exhibit 20: Aspeed: Estimate revisions

NT\$ mn	Current Previous		Diff.	Current Previous		Diff.	Current Previous		Diff.
	2026E	2026E		2027E	2027E		2028E	2028E	
Net sales	18,702	17,828	5%	29,808	25,393	17%	40,761	35,480	15%
COGS	5,270	4,973		8,517	7,264		11,333	9,875	
Gross profit	13,431	12,855	4%	21,291	18,129	17%	29,428	25,605	15%
Operating expenses	2,847	2,832		3,816	2,965		4,636	3,531	
Operating profit	10,584	10,023	6%	17,475	15,163	15%	24,792	22,074	12%
Non-op. income (exp.)	370	347		163	116		163	116	
Pretax Income	10,954	10,370	6%	17,639	15,279	15%	24,955	22,190	12%
Taxes	2,072	1,963		3,299	2,858		4,667	4,150	
Net income	8,882	8,407	6%	14,340	12,422	15%	20,288	18,040	12%
Reported EPS	207.93	192.13	8%	313.49	271.56	15%	443.53	394.38	12%
Margins									
Gross margin	71.8%	72.1%	0 ppt	71.4%	71.4%	0 ppt	72.2%	72.2%	0 ppt
Operating margin	56.6%	56.2%	0 ppt	58.6%	59.7%	-1 ppt	60.8%	62.2%	-1 ppt
Pretax margin	58.6%	58.2%	0 ppt	59.2%	60.2%	-1 ppt	61.2%	62.5%	-1 ppt
Net margin	47.5%	47.2%	0 ppt	48.1%	48.9%	-1 ppt	49.8%	50.8%	-1 ppt

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 21: Aspeed: Quarterly financials

NT\$ in million (YE DEC31)	1Q26	2Q26	3Q25E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2024	2025	2026E	2027E	2028E
Total Revenues	3,147	3,871	4,781	6,903	6,959	7,189	7,607	8,053	9,431	10,111	10,437	10,782	6,460	9,085	18,702	29,808	40,761
Sequential Change	28.8%	23.0%	23.5%	44.4%	0.8%	3.3%	5.8%	5.9%	17.1%	7.2%	3.2%	3.3%					
Change vs Year Ago	52.4%	72.3%	105.2%	182.5%	121.1%	85.7%	59.1%	16.7%	35.5%	40.6%	37.2%	33.9%	106.4%	40.6%	105.9%	59.4%	36.7%
Cost of Sales	970	1,084	1,320	1,897	1,983	2,051	2,177	2,306	2,633	2,815	2,899	2,986	2,306	2,906	5,270	8,517	11,333
Percent of Revenues	31%	28%	28%	27%	28%	29%	29%	29%	28%	28%	28%	28%	36%	32%	28%	29%	28%
Gross Margin	2,177	2,788	3,461	5,006	4,976	5,139	5,431	5,747	6,798	7,296	7,538	7,795	4,154	6,179	13,431	21,291	29,428
Percent of Revenues	69.2%	72.0%	72.4%	72.5%	71.5%	71.5%	71.4%	71.4%	72.1%	72.2%	72.2%	72.3%	64.3%	68.0%	71.8%	71.4%	72.2%
Incremental Margin	72%	84%	74%	73%	-55%	71%	70%	71%	76%	73%	74%	75%	64%	77%	75%	71%	74%
Total Opex	518	702	766	862	939	944	962	971	1,139	1,152	1,169	1,177	1,235	1,518	2,847	3,816	4,636
Percent of Revenues	16.5%	18.1%	16.0%	12.5%	13.5%	13.1%	12.6%	12.1%	12.1%	11.4%	11.2%	10.9%	19.1%	16.7%	15.2%	12.8%	11.4%
R&D	350	428	468	508	600	600	610	610	650	650	660	660	829	1,042	1,755	2,420	2,620
Percent of Revenues	11.1%	11.1%	9.8%	7.4%	8.6%	8.3%	8.0%	7.6%	6.9%	6.4%	6.3%	6.1%	12.8%	11.5%	9.4%	8.1%	6.4%
General & administrative	118	171	171	171	200	200	200	200	300	300	300	301	286	349	630	800	1,201
Percent of Revenues	3.8%	4.4%	3.6%	2.5%	2.9%	2.8%	2.6%	2.5%	3.2%	3.0%	2.9%	2.8%	4.4%	3.8%	3.4%	2.7%	2.9%
Selling & marketing	49	103	127	183	139	144	152	161	189	202	209	216	120	128	462	596	815
Percent of Revenues	1.6%	2.7%	2.7%	2.7%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	1.9%	1.4%	2.5%	2.0%	2.0%
Operating Income	1,659	2,086	2,695	4,144	4,036	4,195	4,469	4,775	5,660	6,144	6,370	6,619	2,918	4,660	10,584	17,475	24,792
Percent of Revenues	52.7%	53.9%	56.4%	60.0%	58.0%	58.3%	58.7%	59.3%	60.0%	60.8%	61.0%	61.4%	45.2%	51.3%	56.6%	58.6%	60.8%
Change vs Year Ago	61.5%	76.2%	118.8%	240.3%	143.3%	101.1%	65.8%	15.2%	40.2%	46.5%	42.5%	38.6%	170%	60%	127%	65%	42%
Total Non-operating Income(Loss)	109	180	41	41	41	41	41	41	41	41	41	41	249	195	370	163	163
Profit Before Taxes	1,768	2,265	2,736	4,185	4,077	4,236	4,509	4,816	5,700	6,185	6,410	6,660	3,167	4,855	10,954	17,639	24,955
Percent of Revenues	56%	59%	57%	61%	59%	59%	59%	60%	60%	61%	61%	62%	49%	53%	59%	59%	61%
Taxes	354	424	512	783	763	792	843	901	1,066	1,157	1,199	1,246	596	928	2,072	3,299	4,667
Tax Rate	20.0%	18.7%	18.7%	18.7%	18.7%	18.7%	18.7%	18.7%	18.7%	18.7%	18.7%	18.7%	18.8%	19.1%	18.9%	18.7%	18.7%
Net Income, Cont Ops	1,414	1,842	2,224	3,402	3,315	3,443	3,666	3,916	4,634	5,028	5,211	5,414	2,571	3,928	8,882	14,340	20,288
Percent of Revenues	45%	48%	47%	49%	48%	48%	48%	49%	49%	50%	50%	50%	40%	43%	47%	48%	50%
Reported Income (TW GAAP)	1,414	1,842	2,224	3,402	3,315	3,443	3,666	3,916	4,634	5,028	5,211	5,414	2,571	3,928	8,882	14,340	20,288
Percent of Revenues	45%	48%	47%	49%	48%	48%	48%	49%	49%	50%	50%	50%	40%	43%	47%	48%	50%
Change vs Year Ago	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	155%	53%	126%	61%	41%
Reported EPS (NT\$, TW GAAP)	37.41	44.29	48.62	74.38	72.47	75.28	80.15	85.60	101.31	109.93	113.93	118.36	68.05	103.94	207.93	313.49	443.53
Change vs Year Ago	60%	166%	51%	135%	94%	70%	65%	15%	40%	46%	42%	38%	155%	53%	100%	51%	41%

Source: Company data, Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research (E) estimates

Aspeed: Valuation Methodology

We lift our price target (base case scenario value) from NT\$20,888 to NT\$24,000, reflecting our EPS changes over 2026-28.

Our key assumptions are unchanged, including:

- Medium-term growth rate of 21.4%
- Terminal growth rate of 5.5%
- Cash payout ratio of 85%
- Cost of equity of 9.8% (2% risk-free rate, 6% risk premium, 1.3 beta)

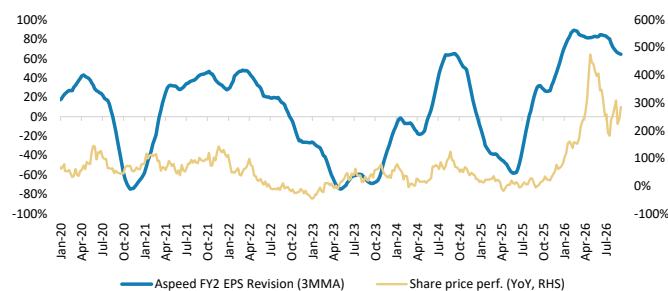
Our bull and bear case scenario values also increase, from NT\$25,500 and NT\$10,000 to NT\$29,300 and NT\$11,500, respectively, implying 93/66x and 37/26x our 2027e/2028e EPS estimates.

Exhibit 22: Aspeed: Residual income model

NT\$million	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	2037E
Total Equity	13,174	20,955	31,353	37,143	44,172	52,708	63,072	75,657	90,939	109,494	132,026	159,384
Net Profit	8,882	14,340	20,288	24,635	29,913	36,322	44,104	53,554	65,028	78,960	95,878	116,420
ROAE	85.6%	84.0%	77.6%	71.9%	73.6%	75.0%	76.2%	77.2%	78.1%	78.8%	79.4%	79.9%
Residual Income	5,743	9,783	14,206	19,487	23,696	28,803	35,003	42,529	51,666	62,759	76,228	92,582
Spread	75.9%	74.3%	67.8%	62.2%	63.8%	65.2%	66.4%	67.4%	68.3%	69.0%	69.6%	70.1%
Ending Equity Capital	13,174											
PV of Forecast Period	193,545											
PV of Continuing Value	818,492											
Equity Value	1,025,211											
No. of Shares	43											
Projected Price	24,000											

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 23: Aspeed: Estimate revision breadth



Source: Company data, Morgan Stanley Research estimates

Exhibit 24: Aspeed: Forward P/E ratio



Source: Company data, Morgan Stanley Research estimates

Risk Reward – Aspeed Technology (5274.TWO)

Agentic AI demand for general server driving further upside; OW

PRICE TARGET NT\$24,000.00

Base case, residual income model. Key assumptions:

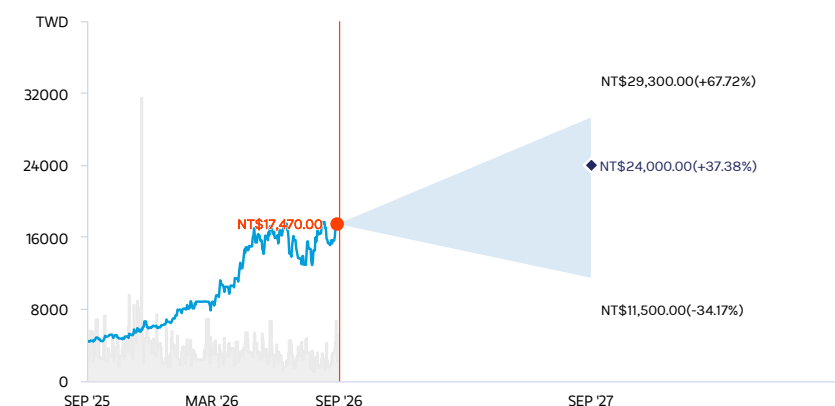
- Cost of equity of 9.8% (2.0% risk-free rate, 6% risk premium, 1.3 beta)
- Medium-term growth rate of 21.4%
- Terminal growth rate of 5.5%
- Cash payout ratio of 85%

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



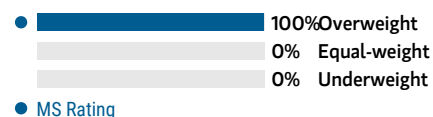
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We see continual general server shipment upward revisions, likely to exceed 40% Y/Y in 2026.
- Aspeed's shipments are currently capped by T-glass shortage, but the company is now qualifying E-glass, which we believe can help expand its shipments to over 2mn units per month.
- Aspeed maintains the lion's share in ASIC racks. Google TPU has long adopted MCU, while we see it utilizing Aspeed's BMC in its next-generation TPU. We expect this to contribute 13% of revenue in 2027.
- Our price target implies 77x our 2027e and 54x our 2028e EPS, above the 42x average one-year forward P/E since 2020, which we find justified by improving demand and new market share expansion.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE NT\$29,300.00

93x 2027e EPS

Booming data center demand with significant share gains; meaningful OPM expansion; new businesses take off faster than expected: Significant earnings growth from data center demand and market share gains in white brands and US server brands. Margins improve considerably. New business growth accelerates. We also assume AI servers fully ramp-up, and clients execute new server platform migration faster than expected.

BASE CASE NT\$24,000.00

77x 2027e EPS

Cloud/traditional servers momentum resuming; remains a beneficiary of ASICs; new business bears fruit: 1) Revenue growth of 106% Y/Y in 2026 after strong growth in 2025; 2) gross margin of 72% in 2026 vs. 68.1% in 2025, OPM improves to 56.6% in 2026 vs. 52.2% in 2025; 3) TPU gets more demand from Aspeed's BMC and agentic AI drives more general server demand.

BEAR CASE NT\$11,500.00

37x 2027e EPS

Disappointing end-demand, with share loss; operating margin pressure; new businesses face challenges: Revenue growth decelerates on slow data center demand and share loss amid a weakening macro environment. OPM pressure emerges amid intense competition. New businesses stay flattish as end-markets take off more slowly.

Risk Reward – Aspeed Technology (5274.TWO)

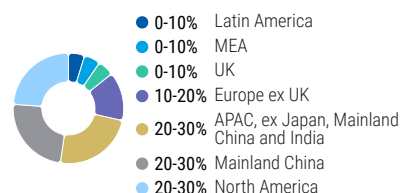
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
BMC revenue (NT\$, mn)	8,024	17,701	28,172	37,968
360 degree SoC revenue (NT\$, mn)	62	67	95	154
PC/AV extension IC revenue (NT\$, mn)	105	44	47	52

INVESTMENT DRIVERS

- Expanding share in baseboard management controller (BMC) market
- Cloud spending acceleration from customers
- Margin expansion
- New business progress

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger cloud demand
- Faster-than-expected spec migration
- Mild competition

RISKS TO DOWNSIDE

- Softening cloud demand
- Slower-than-expected spec migration
- Intensified competition
- Further policy tightening in China

OWNERSHIP POSITIONING

Inst. Owners, % Active 70.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue
(NT\$, mn)

15,384	Mean: 16,900	Morgan Stanley Estimates: 18,702
--------	--------------	----------------------------------

EBITDA
(NT\$, mn)

8,526	Mean: 9,559	Morgan Stanley Estimates: 10,584
-------	-------------	----------------------------------

Net income
(NT\$, mn)

7,003	Mean: 7,697	Morgan Stanley Estimates: 8,882
-------	-------------	---------------------------------

EPS
(NT\$)

171.82	Mean: 186.63	Morgan Stanley Estimates: 207.93
--------	--------------	----------------------------------

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Aspeed: Financial Summary

Income Statement

NT\$mnn (Years End Dec)	2024	2025	2026E	2027E	2028E
Net sales	6,460	9,085	18,702	29,808	40,761
COGS	(2,306)	(2,906)	(5,270)	(8,517)	(11,333)
Gross profit	4,154	6,179	13,431	21,291	29,428
Operating expenses	(1,235)	(1,518)	(2,847)	(3,816)	(4,636)
Operating income	2,918	4,660	10,584	17,475	24,792
Non-operating income	249	195	370	163	163
Pre-tax income	3,167	4,855	10,954	17,639	24,955
Income tax	596	928	2,072	3,299	4,667
Reported net income	2,571	3,928	8,882	14,340	20,288
Adj.wtd.avg.shrs(m)	38	38	43	46	46
Reported EPS (NT\$)	68.05	103.94	207.93	313.49	443.53

Balance Sheet

NT\$mnn (Years End Dec)	2024	2025	2026E	2027E	2028E
Cash	3,659	5,788	9,866	15,982	24,713
Mkt Securities	352	510	510	510	510
AR/NR	1,437	1,606	3,133	4,993	6,827
Inventory	357	280	577	933	1,242
Other	181	224	224	224	224
Current Assets	5,987	8,408	14,310	22,643	33,516
Long-term investments	0	0	0	0	0
Fixed assets	355	409	439	469	499
Deferred assets	69	59	59	59	59
Other assets	1,316	1,457	1,457	1,457	1,457
Total Assets	7,726	10,334	16,266	24,628	35,532
S/T borrowings	0	0	0	0	0
AP/NP	426	616	945	1,526	2,031
Other ST liabilities	1,457	1,828	1,828	1,828	1,828
LT debt	0	0	0	0	0
Other LT liabilities	204	319	319	319	319
Common shares	378	378	378	378	378
Total Liabilities	2,087	2,763	3,092	3,673	4,178
Additional capital	2,440	2,665	2,665	2,665	2,665
Retained earning	2,851	4,529	10,133	17,913	28,312
Other shareholders' equity	(31)	(2)	(2)	(2)	(2)
Total Equity	5,639	7,571	13,174	20,955	31,353
Total Liab. & Shrhldr's Equity	7,726	10,334	16,266	24,628	35,532

E = Morgan Stanley Research Estimates

Source: Morgan Stanley Research, Company Data

Cash Flow Statement

NT\$mnn (Years End Dec)	2024	2025	2026E	2027E	2028E
Cashflow from Operations	3,145	4,496	7,387	12,706	18,650
Net profits	2,571	3,928	8,882	14,340	20,288
Depreciation	121	167	0	0	0
Working Capital Change	(66)	453	(1,496)	(1,634)	(1,638)
Other adjustments	519	(52)	0	0	0
Cashflow from Investing	(345)	(395)	(30)	(30)	(30)
Capex	(25)	(274)	(30)	(30)	(30)
Change of LT Investment	0	0	0	0	0
Change of ST Investment	43	(128)	0	0	0
Other adjustments	(363)	8	0	0	0
Cashflow from financing	(781)	(1,991)	(3,279)	(6,559)	(9,889)
Increase in L/T debt	0	0	0	0	0
Increase in S/T debt	0	0	0	0	0
Cash Dividend Paid	(756)	(1,967)	(3,279)	(6,559)	(9,889)
Dir& Emp Bonus Paid	0	0	0	0	0
Issuance of stock	0	0	0	0	0
Other adjustments	(25)	(25)	0	0	0
Exchange rate adjustment	30	19	0	0	0
Net change in cash	2,048	2,129	4,078	6,116	8,730

Financial Ratios

	2024	2025	2026E	2027E	2028E
Growth(%)					
Turnover	106.4	40.6	105.9	59.4	36.7
Operating profits	170.3	59.7	127.1	65.1	41.9
EPS	155.2	52.7	100.1	50.8	41.5
Margins (%)					
Gross Margin	64.3	68.0	71.8	71.4	72.2
Operating Margin	45.2	51.3	56.6	58.6	60.8
Pretax Margin	49.0	53.4	58.6	59.2	61.2
Net Margin	39.8	43.2	47.5	48.1	49.8
Return (%)					
ROAE	54.3	59.5	85.6	84.0	77.6
ROAA	41.9	43.5	66.8	70.1	67.4
Gearing (%)					
Net Debt/Equity	(64.9)	(76.5)	(74.9)	(76.3)	(78.8)
Liabilities/Equity	37.0	36.5	23.5	17.5	13.3
Ratios (X)					
Current ratio	3.2	3.4	5.2	6.8	8.7
Quick ratio	2.7	3.0	4.7	6.3	8.2
Others					
AR/NR Turnover (days)	61	61	61	61	61
Inventory Turnover (days)	52	40	40	40	40
AP Turnover (days)	53	65	65	65	65
Cash Conversion (days)	60	36	36	36	36

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Global Stock Ratings Distribution

(as of August 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

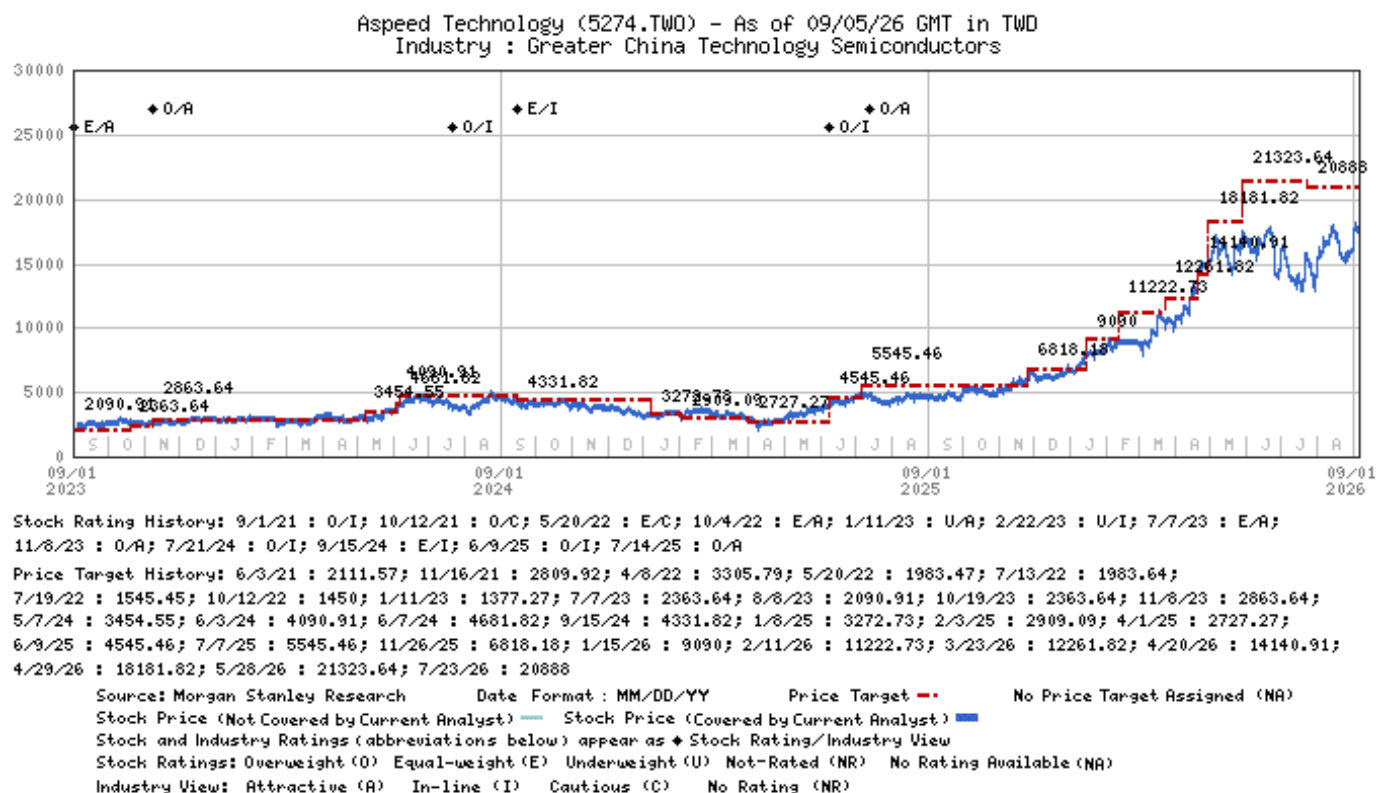
Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below. Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/04/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$74.44
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb335.42
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$112.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$4,220.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$588.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,072.00
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb54.80
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$5,810.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$981.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$518.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$109.70
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$383.60
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$262.00
MediaTek (2454.TW)	O (11/28/2025)	NT\$4,415.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb631.10
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$496.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb638.17
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb80.25
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,015.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb106.92
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$428.50
SMIC (0981.HK)	O (10/21/2025)	HK\$67.20
TSMC (2330.TW)	O (02/07/2022)	NT\$2,410.00
UMC (2303.TW)	O (05/19/2026)	NT\$130.00
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$150.00

WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$449.50
Daisy Dai, CFA		
ASMP Ltd (0522.HK)	O (07/24/2025)	HK\$158.60
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb56.55
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb89.70
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb30.34
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb243.67
Innoscence (2577.HK)	E (10/13/2025)	HK\$44.10
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb67.36
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$25.72
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb97.43
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb85.60
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb62.08
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb24.73
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb86.19
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$911.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,430.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$17,470.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$101.50
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$133.00
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT\$2,385.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb111.50
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb371.88
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$121.50
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$261.60
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb187.70
Novatek (3034.TW)	U (02/04/2026)	NT\$524.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$120.00
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$569.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$68.50
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$713.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb52.05
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$174.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$104.00
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$192.50
Duan Liu		
Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb112.94
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb347.00
Henry Zhao		
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb71.48
Tiffany Yeh		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,305.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$735.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$13.68
Hon Precision (7769.TW)	O (04/17/2026)	NT\$5,980.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$5,155.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$256.21
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$7,075.00

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